

Cyber sectorial intelligence

BANKING SECTOR

EXECUTIVE SECTOR INTELLIGENCE – BANKING

Banking: Non-Financial Risks & Credit Implications

For Senior Credit Officers & Credit Committees

Fraud, cyber disruption, operational dependencies and governance weaknesses can create **earnings and liquidity pressure.** Borrower-level financial resilience determines the significance for creditworthiness.

1 FRAUD & FINANCIAL CRIME

Financial loss, reimbursement and customer impact

Sector evidence

- Rising and more sophisticated payment, account and authorised-push-payment fraud.
- Industry gross fraud losses of £1.17bn in the UK in 2024.

Potential financial impact

Direct losses, customer reimbursement, legal costs and higher operational spend.

Borrower exposure to assess

Transaction and channel exposure, control effectiveness and loss trends.

Credit channel: Earnings and liquidity

2 CYBER & ICT

Malicious activity, service disruption and recovery costs

Sector evidence

- Continued high levels of cyber targeting of financial institutions, including ransomware.
- Average financial-sector breach cost of $5.56m in 2025 (industry average).

Potential financial impact

Service disruption, data and operational recovery costs, regulatory notification and potential penalties.

Borrower exposure to assess

Critical systems, recent incidents, security maturity and recovery capability.

Credit channel: Operating cash flow

3 OPERATIONAL RESILIENCE / THIRD-PARTY RISK

Dependency, concentration and service continuity

Sector evidence

- Increased operational incidents linked to third-party and cloud service disruptions.
- 27% of reported financial firm incidents involve third parties (industry research).

Potential financial impact

Settlement delays, liquidity demands, revenue interruption and higher remediation costs.

Borrower exposure to assess

Key supplier concentration, substitution options and tested recovery arrangements.

Credit channel: Liquidity and continuity

4 GOVERNANCE & OPERATING MODEL

Oversight, accountability and regulatory exposure

Sector evidence

- Greater supervisory focus on cyber, IT and operational resilience, including board accountability.
- Regulatory findings continue to identify control, resilience and third-party management gaps.

Potential financial impact

Remediation expenditure, supervisory restrictions, fines and potential limits on business growth.

Borrower exposure to assess

Governance effectiveness, open supervisory findings and progress on remediation commitments.

Credit channel: Capital and cost pressure

PRIORITIES FOR BORROWER DISCUSSION

1. What is your current exposure to fraud losses, and how are reimbursement and recovery costs managed?
2. Which critical services or suppliers could create significant liquidity or earnings pressure if disrupted?
3. What evidence demonstrates that operational recovery and financial contingency arrangements are adequate?
4. Are there any material supervisory findings or remediation commitments that could affect your financial forecasts or capital plans?

KEY SECTOR INDICATORS (CONTEXT, NOT A BORROWER ASSESSMENT)

Capital strength (CET1)	EU/EEA: 16.1% (Q2 2026) | UK: 14.2% (Q2 2026)
US bank profitability	Net income: $90.1bn (Q2 2026, FDIC)
Fraud losses (UK)	£1.17bn gross losses in 2024 (UK Finance)
Cyber breach cost (financial sector)	$5.56m average cost in 2025 (industry average)
Third-party involvement	27% of reported financial firm incidents (industry research)

KEY CREDIT CONSIDERATIONS

- Material non-financial risks can affect earnings, liquidity and capital.
- Impact varies by business model, technology dependencies and control effectiveness.
- Further due diligence is warranted where exposures are concentrated, remediation is ongoing or financial buffers are limited.

CREDIT ASSESSMENT TAKEAWAY

Prioritise additional due diligence where concentrated operational dependencies, material financial exposures or unresolved governance deficiencies coincide with limited financial resilience.

SECTOR INTELLIGENCE – BANKING

Banking Sector Anatomy: Critical Dependencies & Credit Exposure

For Senior Credit Officers & Credit Committees

Banks rely on interconnected operations, technology platforms and external providers. A disruption to a critical dependency can interrupt services, create liquidity pressure and weaken financial resilience.

1 CRITICAL OPERATIONS
(Key business models)

Retail & Commercial Banking
Deposits, payments, lending, customer services

Investment Banking & Brokerage
Trading, market access, clearing, securities

Custody & Transaction Banking
Asset safekeeping, settlement, cash management

Digital Banking & BaaS
Cloud-based banking, platforms and APIs

2 KEY DEPENDENCIES
(That enable these operations)

Core Systems & Data
Core ledgers, customer and transaction data

Cloud & Digital Infrastructure
Hosting, applications, connectivity, identity

Third-Party Providers
Payments, core software, clearing and services

Facilities & Utilities
Data centres, power, cooling and telecoms

3 POTENTIAL DISRUPTION & CREDIT IMPACT

Service & transaction disruption
Lost revenue, higher costs and client impact

Liquidity & settlement pressure
Delayed payments, increased collateral needs and potential deposit outflows

Capital & business impact
Regulatory penalties, higher resilience investment and potential loss of market share

KEY QUESTIONS FOR THE CREDIT OFFICER

1. Which operations are essential to revenue generation and meeting financial obligations?
2. Which technology or supplier failures could disrupt multiple critical services?
3. What tested alternatives and recovery plans exist, and how long could the business sustain an outage?

CREDIT ASSESSMENT TAKEAWAY

Prioritise further investigation where critical activities depend on concentrated infrastructure or suppliers without demonstrated alternatives, particularly where disruption could exceed available liquidity or earnings headroom.

Banking: Priority Cyber Threats & Credit Exposure

Executive Summary: Cyber threats affecting critical banking operations can lead to service interruption, financial theft, liquidity stress and recovery costs; the credit significance depends on the borrower's business model, dependencies and resilience.

PRIORITY THREAT SCENARIOS

Threat Scenario & Description	Exposed Business Models	Credit Transmission (to Borrower)	Operational Severity	Analyst Confidence
1. Privileged Access Compromise & Ransomware Disruption of core systems, directories or backup environments.	Universal banks, retail banks, shared group platforms	Prolonged outage, revenue loss, remediation cost.	Critical	High
2. Critical Supplier Compromise Attack or outage affecting core software, cloud or market-processing providers.	Regional banks, custody, derivatives, digital banks	Multi-institution disruption, liquidity pressure, client-service impact.	High	High
3. Identity Deception & SaaS Account Compromise Phishing, helpdesk abuse or impersonation enabling access to customer or cloud environments.	Digital banks, consumer lenders, wealth/private banking	Fraud loss, data exposure, operational disruption.	High	High
4. Payment Manipulation & Financial Theft Abuse of trusted payment endpoints, SWIFT or cash-dispensing channels.	Retail/commercial banks, transaction banks, ATM networks	Direct losses, reimbursement cost, legal exposure.	High	Medium–High
5. DDoS & Digital Service Disruption Coordinated attacks against online banking, apps, APIs or payment channels.	Digital banks, payment services, API-connected platforms	Lost fee income, client disruption, franchise pressure.	High	High

EMERGING THREAT SIGNALS

AI-Assisted Intrusion Acceleration

Access sequences are becoming faster and more automated.



27% of firm incidents linked to third parties

37% of those cyber-related

(Sector incident reporting context)

DDoS Persistence & Mobile Malware

Financially motivated DDoS campaigns are becoming longer-lasting and credential-stealing malware is shifting toward mobile banking users.

RECENT SECTOR DEVELOPMENTS

Oct 2026	**Multi-bank breach cluster in South Korea** Breaches across multiple financial firms and investigation into possible common factors.
Oct 2026	**Customer-data incident updates at major banks** Expanding forensic reviews in Asian banks revised affected-user counts upward, illustrating continuing data-exposure risk even when immediate operational impact is limited.

Interpretation: *recent incidents reinforce concentration, credential-abuse and customer-data exposure themes.*

QUESTIONS FOR THE CREDIT OFFICER

1. Which current cyber threat scenarios could materially disrupt your critical services or revenue-generating operations?
2. How would an incident affecting a key technology provider or digital channel affect operations, liquidity and customer service?
3. What recent testing, incidents or management actions demonstrate that your resilience arrangements remain effective against these threats?

CREDIT ASSESSMENT TAKEAWAY

Prioritise further investigation where active sector threats coincide with concentrated dependencies, weak recovery capability or limited financial buffers.

Geopolitical Cyber Exposure: Implications for Credit Risk

Sector Intelligence Briefing for Senior Credit Officers

Geopolitical tensions are increasing the risk of cyber disruption to critical infrastructure, financial networks and key technology providers. Even without being directly targeted, borrowers can face operational disruption, higher costs, liquidity pressure and regulatory scrutiny if they are exposed through geography, suppliers or shared systems.

1 KEY GEOPOLITICAL CYBER THREATS

State-linked activity with sector relevance

Russia

Disruption & espionage

Targeting critical infrastructure, financial institutions and supply chains to disrupt operations and gain access to sensitive data.

RELEVANCE High ●●●

Iran

Destructive attacks & retaliation

Increasing use of wiper malware and DDoS against regional targets and companies linked to Western markets.

RELEVANCE Medium ●●○

China

Strategic access & IP theft

Persistent campaigns targeting strategic sectors, critical technologies and supply-chain providers.

RELEVANCE High ●●●

North Korea

Financial theft

Targeting financial institutions and payment networks to generate revenue and evade sanctions.

RELEVANCE Medium ●●○

Relevance to sector (illustrative): ● High ● Medium ● Lower

2 TRANSMISSION PATHWAYS TO THE BORROWER

How geopolitical cyber activity can affect financial resilience

Geopolitical event or conflict escalation
e.g., state-linked cyber campaign, sanctions or retaliation

→

Impact on shared infrastructure or suppliers
e.g., telecoms, cloud providers, payment networks or key vendors

→

Operational disruption for the borrower
e.g., system outages, data loss, restricted access, supply delays

→

Financial and credit impact
e.g., revenue loss, higher costs, liquidity pressure, regulatory scrutiny

3 ILLUSTRATIVE SECTOR SCENARIOS

Plausible geopolitical cyber scenarios and potential financial impact

Telecoms / connectivity disruption

State-linked attack on regional telecoms infrastructure affects cross-border connectivity.

Potential impact

- Delayed transactions and customer service disruption
- Higher operating costs
- Short-term liquidity needs

Potential earnings impact (illustrative) **-5% to -15%**

Critical supplier compromise

Intrusion into a key technology or software provider used across the sector.

Potential impact

- Inability to process transactions or deliver core services
- Manual workarounds and increased costs
- Extended recovery time

Potential earnings impact (illustrative) **-10% to -25%**

Escalation & regulatory response

Wider conflict leads to sanctions, countermeasures and increased regulatory scrutiny.

Potential impact

- Restricted access to markets or payment channels
- Higher compliancs and legal costs
- Increaded funding costs

Potential earnings impact (illustrative) **-5% to -20%**

4 SECTOR EXPOSURES & VULNERABILITIES

Where borrowers may be at higher risk

Geographic exposure
Operations, customers or suppliers in conflict-exposed regions or countries subject to sanctions.

Critical infrastructure dependence
Reliance on telecoms, cloud, energy or payment networks that may be targeted.

Third-party and supply-chain risk
Concentration on a small number of technology providers or service partners.

Regulatory and legal exposure
Increased scrutiny, compliance requirements and potential secondary sanctions.

5 KEY QUESTIONS FOR CREDIT OFFICERS

Topics to discuss with the borrower

1. What is the company's exposure to operations, customers or suppliers in geopolitically sensitive regions?
2. Which critical services rely on third-party providers that could be affected by geopolitical cyber activity?
3. How would a prolonged disruption affect cash flow, liquidity and debt service capacity?
4. What alternative service routes, contingency plans and tested recovery arrangements are in place?
5. How could increased regulatory scrutiny, sanctions or restricted market access affect the business model?

CREDIT ASSESSMENT TAKEAWAY

Geopolitical cyber risks can translate into material credit risks through indirect exposures, shared infrastructure and third-party dependencies. Credit officers should assess the borrower's geographic footprint, critical dependencies and financial resilience, and consider escalation where material exposure coincides with limited operational or liquidity buffers.

Banking Sector: Cyber-to-Credit Risk Overview

Large cyber incidents in banking can rapidly translate into liquidity pressure, operational disruption, legal liabilities, and counterparty confidence issues — making cyber resilience a relevant consideration in credit assessment.

Key Credit-Relevant Risk Channels

Liquidity & Settlement Stress

Disruption can create immediate cash, collateral, or settlement pressures.

Operational Disruption

Outages can interrupt critical services, revenue flows, and client activity.

Third-Party Dependency

Supplier or platform failure can impair the borrower even without direct compromise.

Legal / Regulatory Cost

Fines, claims, remediation, and oversight costs can erode financial resilience.

Illustrative Sector Lessons

ICBC (2023)

Ransomware disrupted Treasury settlement workflows, impacting global payment and funding operations.

Credit lesson: Short-term liquidity demands can spike during cyber disruption.

ION (2023)

Software-provider ransomware affected derivatives processing used by major banks, causing operational disruption.

Credit lesson: Third-party concentration can create systemic operational risk.

Capital One (2019)

Major data breach exposed customer information and resulted in regulatory penalties and shareholder litigation.

Credit lesson: Cyber events can create long-tail legal and financial liabilities.

Questions for the Credit Officer

1. Could the borrower continue critical operations for several days during a major technology outage?
2. Which third parties could materially disrupt revenue, servicing, payments, or settlement?
3. How much uninsured cyber loss could the borrower absorb without affecting debt service?
4. Have business continuity and recovery arrangements been recently tested?
5. Would a major cyber event create covenant, liquidity, or refinancing pressure?

Credit Assessment Takeaway

For credit purposes, the key issue is not the technical nature of the cyberattack, but whether the resulting disruption could weaken liquidity, earnings stability, operational continuity, or repayment capacity.

Reusable sector template — example shown for Banking

SECTOR INTELLIGENCE – BANKING

Banking: Critical Cyber Resilience Capabilities & Credit Assurance

For Senior Credit Officers & Credit Committees

Effective cyber resilience depends on protecting critical business services, maintaining reliable transaction records, recovering from disruption and managing essential suppliers. Weaknesses in these capabilities may expose borrowers to financial losses, liquidity pressure and prolonged operational disruption.

1 CRITICAL SERVICE VISIBILITY

Identify essential operations and their supporting dependencies.

Potential credit exposure
Unrecognised service concentration and delayed recovery.

Illustrative assurance evidence
Critical-service mapping and recent disruption tests (e.g., business continuity exercises).

2 PROTECTION OF CRITICAL ACCESS

Prevent compromised identities from disabling multiple critical services.

Potential credit exposure
Widespread disruption and compromised recovery capability.

Illustrative assurance evidence
Independent assurance of access controls, privileged access management and recovery separation.

3 TRANSACTION & DATA INTEGRITY

Protect and verify the accuracy and completeness of critical financial information.

Potential credit exposure
Incorrect balances, transaction disputes and reconciliation delays.

Illustrative assurance evidence
Restoration and transaction-reconciliation test results (e.g., from recovery exercises).

4 INDEPENDENT RECOVERY

Restore critical services following severe technology disruption.

Potential credit exposure
Extended service interruption and accumulating financial losses.

Illustrative assurance evidence
Tested recovery arrangements, including achieved restoration times (RTO/RPO) for critical services.

5 CRITICAL SUPPLIER RESILIENCE

Maintain essential operations when major providers fail.

Potential credit exposure
Concentrated outages and unavailable alternative services.

Illustrative assurance evidence
Supplier assurance (e.g., due diligence, resilience testing) and viable, tested contingency arrangements.

KEY QUESTIONS FOR THE CREDIT OFFICER

1. Which of your critical services are most dependent on specific technology or suppliers?
2. What evidence demonstrates that a major disruption can be contained and recovered within acceptable timeframes?
3. How do you validate the integrity of transactions and financial records after a disruption?

CREDIT ASSESSMENT TAKEAWAY

Prioritise further assurance where a borrower cannot substantiate its ability to protect, maintain and recover material operations, especially where failure could affect cash flow, liquidity or repayment capacity.

SECTOR INTELLIGENCE – BANKING

Cyber Resilience Regulation: Implications for Credit Risk

For Senior Credit Officers & Credit Committees

Regulatory expectations increasingly emphasise operational continuity, incident management and third-party resilience. Material deficiencies can expose borrowers to remediation costs, business restrictions and financial pressures that warrant further credit assessment.

1 REGULATORY LANDSCAPE FOR BANKING

Key frameworks, scope and focus (selected)

EU – DORA
(Digital Operational Resilience Act)

ICT risk management, incident reporting, testing and third-party resilience.

Applies from 17 Jan 2025

UK – PRA / FCA
(Operational Resilience)

Maintain important business services within impact tolerances and manage critical third parties.

Final regime effective 18 Mar 2027

US – Multi-Regulator
(OCC, Fed, FDIC, SEC, etc.)

Cybersecurity, operational resilience and incident reporting requirements across banking and capital markets.

Sector-specific; varies by regulator and entity

Applicability depends on the borrower's activities, legal entities, jurisdictions and business model.

2 CORE SUPERVISORY EXPECTATIONS

What regulators expect from banks

Operational Continuity	Critical services remain within defined impact tolerances during severe, but plausible, disruption.
Incident Management & Reporting	Timely detection, escalation and regulatory notification (e.g., EU: initial within 4 hours, follow-up within 72 hours).
Third-Party & Technology Risk	Identify, assess and manage material technology and supplier dependencies, including concentration risk.
Testing & Assurance	Regular, scenario-based testing and evidence of effective recovery and service restoration.

3 POTENTIAL CREDIT CONSEQUENCES

How regulatory and resilience shortfalls can affect financial resilience

Remediation & Compliance Costs	Significant investment in systems, controls and third-party changes can reduce earnings and increase operating costs.
Revenue & Service Disruption	Regulatory intervention, service restrictions or prolonged outages can interrupt fee income and client activity.
Capital & Funding Implications	Higher operating costs and supervisory findings can constrain capital headroom, funding access or growth plans.
Legal, Regulatory & Reputational Risk	Fines, supervisory actions and loss of customer confidence can create additional financial and liquidity pressure.

4 KEY QUESTIONS FOR THE CREDIT OFFICER

Topics to discuss with the borrower and evidence to request

1. **Regulatory exposure:** Which cyber resilience and incident management obligations (e.g., DORA, PRA/FCA, US rules) apply to your business, and what is your current compliance status?
2. **Supervisory findings:** Have regulators identified any material weaknesses, and what remediation actions, costs or timelines are in place?
3. **Financial impact:** How could required remediation, operational restrictions or a significant incident affect your earnings, liquidity, capital and debt-service capacity?
4. **Resilience evidence:** What recent tests or real incidents demonstrate that critical services can be maintained or restored within your regulatory impact tolerances?

CREDIT ASSESSMENT TAKEAWAY

Prioritise further due diligence where material regulatory obligations, supervisory findings or resilience gaps could lead to significant remediation costs, operational disruption or financial pressure on the borrower's repayment capacity.

SECTOR ANALYSIS

Banking: Cyber Incidents and Financial Impact

Cyber incidents can lead to material financial losses, operational disruption and regulatory penalties, affecting liquidity, earnings and business continuity. Credit officers should assess how well counterparties can withstand and recover from such events.

OVERALL SECTOR RISK

HIGH

Frequent and high-impact cyber incidents with significant financial and regulatory consequences.

1 SCALE OF THE RISK

Financial sector benchmark and trends

$5.6M

Average cyber breach cost

Financial sector, 2025

▼ -8.6% vs 2024 ($6.1M)

219 days

Mean incident lifecycle

From initial compromise to full containment (2025)

+6.3%

Cost increase

Across all sectors (2021–2024)

2 ILLUSTRATIVE INCIDENTS

Real-world examples from the financial sector

ICBC Financial Services

Securities clearing | 2023

$9B settlement obligation

- Ransomware attack disrupted US Treasury clearing.
- Created a temporary **$9B** settlement obligation.
- Highlighted acute liquidity stress from operational disruption.

Capital One

Consumer banking | 2019

$270M fines & settlements

- Cloud misconfiguration led to data breach.
- **$85M** regulatory fine plus **$190M** customer settlement.
- Sighliicant long-tail legal and remediation costs.

Bangladesh Bank

Central bank | 2016

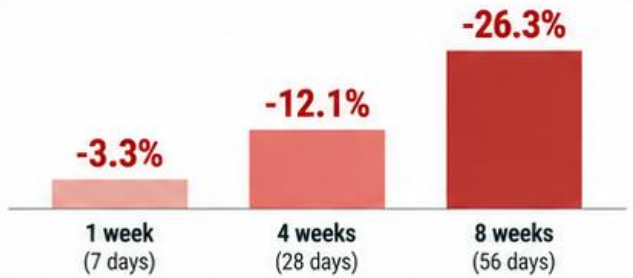
$81M fraudulent transfers

- Compromise of SWIFT payment system.
- **$81M** stolen via unauthorised transfers.
- Demonstrated vulnerability of payment infrasstructure and third-party risk.

3 FINANCIAL DISRUPTION SCENARIOS

Illustrative impact on profitability and liquidity

Estimated impact of operational disruption
(on pre-tax profit)



Key financial drivers (illustrative)

Impact area	Key effects
Revenue loss	Reduced transaction volumes, client activity and fee income.
Additional costs	Incident response, remediation, legal and customer compensation.
Liquidity pressure	Settlement obligations, increased funding needs, higher collateral.
Regulatory impact	Fines, supervisory actions and ongoing compliance investment.

4 CREDIT TRANSMISSION

How cyber incidents affect creditworthiness

Earnings & cash flow

Revenue loss and higher costs reduce profitability and free cash flow.

Liquidity & funding

Unexpected funding needs and collateral calls can strain liquidity.

Liabilities & legal costs

Regulatory fines, customer claims and long-tail litigation increase total liabilities.

Third-party dependencies

Critical service providers can disrupt operations even if the borrower is not directly compromised.

5 KEY QUESTIONS FOR CREDIT OFFICERS

Indicative questions to support credit assessment discussions

1. How would a significant operational disruption affect the company's cash flow, liquidity and debt service capacity?
2. What are the critical third-party providers and how are their cyber risks managed?
3. What level of insurance coverage is in place for cyber-related losses?
4. Has the company tested its incident response and business continuity plans, and what were the results?

SECTOR STRESS INTELLIGENCE

Banking: Cyber Disruption Stress Test & Credit Vulnerability

For Senior Credit Officers & Credit Committees

Severe cyber disruption can weaken a bank's earnings, create immediate liquidity needs and reduce financial headroom. *The credit impact depends on the* business model, extent and duration of disruption, and the bank's financial and operational resilience.

1 BUSINESS-MODEL SENSITIVITY

How cyber disruption affects different banking models

Retail & Digital Banking

High sensitivity to payment outages, customer access and deposits outflows.

Custody & Transaction Banking

Exposure to settlement delays, failed transactions and collateral calls.

Investment Banking & Brokerage

Trading disruption, market access loss and margin/collateral pressures.

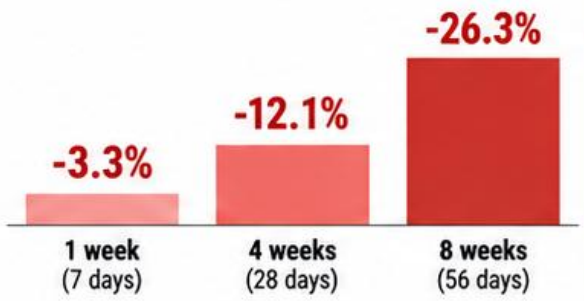
Specialist & Mortgage Lending

Impact on loan origination, servicing and cash collections from customers.

2 ILLUSTRATIVE FINANCIAL STRESS SCENARIOS

Estimated impact for a representative bank (assumptions below)

Estimated reduction in annual pre-tax profit



Financial impact breakdown (USD million)

Impact component	1 week	4 weeks	8 weeks
Lost fee / revenue income	$1.40	$8.40	$21.00
Response & recovery costs	$5.00	$15.00	$30.00
Incremental funding cost (+200 bps)	$0.19	$0.78	$1.56
Total pre-tax impact	**$6.59**	**$24.18**	**$52.56**

Illustrative model assumptions (not a sector average)

Representative bank: $1.0bn annual operating income, $365m fee income, $200m baseline pre-tax profit; fee loss: 40%/60%/75%; funding cost: +200 bps.

3 CREDIT RESILIENCE INDICATORS

Key areas to assess the borrower's capacity to absorb disruption

Liquidity Resilience

Available liquidity, contingent funding and capacity to meet settlement and cash obligations.

Earnings Headroom

Ability to absorb revenue loss and higher costs without breaching financial plans or covenants.

Capital & Regulatory Buffers

Impact on capital ratios, liquidity requirements (e.g., LCR/NSFR) and supervisory expectations.

Operational Resilience

Redundancy, alternative processing and tested recovery time for critical banking services.

4 KEY TAKEAWAYS FOR CREDIT RISK

Material Credit Effect

Prolonged disruption can meaningfully reduce earnings and increase liquidity needs.

Vulnerability Drivers

Higher risk where the bank has concentrated systems, key third-party dependencies or limited financial buffers.

Credit Implications

Assess the impact on repayment capacity, covenants, funding access and capital requirements.

KEY QUESTIONS FOR THE CREDIT OFFICER

1. How long could critical banking services be disrupted before liquidity, earnings or capital are materially affected?
2. What liquidity resources, contingent funding and market access are available to absorb a cyber-related shock?
3. What financial risk transfer is in place (e.g., cyber insurance, third-party contractual protections) and what are the key exclusions?
4. What evidence shows that critical operations (payments, settlement, customer access) can be restored within the assumed timeframe?

SECTOR INTELLIGENCE – BANKING

RISK Corporate Questionnaire: From Responses to Credit Intelligence

For Senior Credit Officers & Credit Committees

Link questionnaire responses to sector-specific threats, real-world attacks, exploited weaknesses, resilience expectations and financial impact.
This helps determine whether a gap is material for a particular borrower and the appropriate credit action.

FROM QUESTIONNAIRE RESPONSE TO CREDIT INSIGHT

1. RESPONSE
Identify the control or resilience gap from the 25-question assessment.

→

2. SECTOR THREAT
Map to relevant banking threat scenarios (e.g., ransomware, supplier compromise).

→

3. EVIDENCE
Use documented banking attacks and exploited weaknesses to validate risk relevance.

→

4. MATERIALITY
Assess impact on the borrower's critical operations, dependencies and resilience (see criteria below).

→

5. CREDIT IMPACT & ACTION
Estimate potential financial consequences and define the next step (e.g., targeted discussion, additional evidence, specialist review).

EXAMPLE: QUESTIONNAIRE RESPONSE MAPPING (BANKING)

Questionnaire Finding (example from 25 questions)	Relevant Banking Threat Scenario	Documented Incident (evidence)	Potential Financial Consequence	Indicative Materiality*
Untested or outdated recovery arrangements	Ransomware / major service disruption	**ICBC (2023):** ransomware caused prolonged processing disruption and settlement backlog	Interrupted payments and settlement, higher recovery costs, liquidity pressure	**High**
Inadequate privileged access controls	Identity compromise and lateral movement	**Bangladesh Bank (2016):** compromised credentials enabled fraudulent payment instructions	Direct financial loss, transaction fraud, remediation costs	**High**
Weak third-party risk oversight	Critical supplier compromise (e.g., cloud or core banking)	**TIE Clearing (2023):** supply-chain breach exposed client data and trading information	Correlated service disruption, regulatory impact and client remediation	**Medium**
Limited transaction and data integrity controls	Data manipulation / payment fraud	**Payment-integrity incidents** (sector-wide): manipulation of payment instructions via trusted access	Incorrect balances, reconciliation delays and potential customer compensation	**Medium**
No validated continuity plan for key suppliers	Concentrated supplier outage (e.g., payments, market data, cloud)	**Multiple bank outages (2024–2026):** service disruption from shared technology providers	Service unavailability, lost revenue (e.g., fees), and increased operational costs	**High**

WHEN IS A GAP MATERIAL?

A questionnaire gap is more likely to be material when one or more of these apply:

1	**Criticality**	Affects operations essential to revenue, payments, settlement or meeting financial obligations.
2	**Threat relevance**	Aligned to active and credible threats currently targeting banking (e.g., ransomware, supplier or identity attacks).
3	**Exposure & concentration**	Could disrupt several critical services, business lines or clients simultaneously (e.g., reliance on a single provider).
4	**Demonstrated resilience**	Lack of effective compensating controls, tested alternatives or recent, successful recovery exercises.
5	**Financial absorption capacity**	Potential impact could exceed available liquidity, earnings headroom or covenant buffers.

CREDIT OFFICER TAKEAWAY

A cybersecuritygap becomes credit-relevant when it affects business-critical banking services, is exposed to credible sector threats, and could lead to financial consequences that the borrower may not be able to absorb or recover from.

***Indicative materiality (sector view):**
High = potential for significant financial impact or prolonged disruption; **Medium** = meaningful impact but generally more containable; **Low** = limited impact or strong compensating controls in place.

CREDIT INTELLIGENCE
SECTOR – BANKING

Cyber Resilience: Borrower Engagement & Credit Escalation Guide

For Senior Credit Officers & Credit Committees

Targeted borrower discussions can reveal operational weaknesses that may threaten earnings, liquidity or repayment capacity. Where material exposures are identified, credit officers should request proportionate evidence and escalate concerns through established risk governance.

FIVE PRIORITY DISCUSSION AREAS

Key questions to assess operational exposure, cyber resilience and third-party risk

1	**Business Continuity & Critical Services**	Which operations are essential to generating revenue and meeting your financial obligations, and how long could they remain unavailable?
2	**Access & Technology Resilience**	What prevents a security incident from disrupting multiple critical services, and how is access to key systems controlled and protected?
3	**Technology Risk Management**	How are material technology vulnerabilities identified, prioritised and resolved, particularly for systems that support critical services?
4	**Recovery & Data Integrity**	What evidence demonstrates that critical operations, data and financial records can be restored and reconciled reliably within your targets?
5	**Third-Party Dependency**	Which suppliers or service providers are critical to your operations, how is their resilience assured, and what alternatives exist if they fail?

CREDIT ESCALATION FRAMEWORK

A proportionate response based on materiality, evidence and potential financial impact

Level 1 – Clarify
Discuss potential exposure and understand the borrower's position.

→

Level 2 – Validate
Request supporting evidence (e.g., test results, recovery plans, third-party assurances).

→

Level 3 – Escalate
Seek specialist review (e.g., cyber, operational risk) where a material vulnerability is indicated.

→

Level 4 – Assess
Consider credit implications (e.g., additional analysis, enhanced monitoring or credit conditions) under established governance.

KEY WARNING INDICATORS

Examples of findings that may warrant further credit investigation

Service Resilience	No recent, successful end-to-end recovery test for critical services.
Access & Controls	Weak control of privileged access or inadequate separation of environments.
Technology Exposure	Material, unremediated vulnerabilities on critical systems.
Third-Party Risk	High concentration on a single supplier without tested alternatives.
Supervisory / Audit	Significant or unresolved regulatory, audit or supervisory findings.

CREDIT OFFICER TAKEAWAY

A cyber or operational resilience weakness warrants credit attention when it could disrupt material business services, is inadequately mitigated, and may weaken the borrower's financial capacity to meet its obligations.